

supply structure prone to cornering. In addition to miners, in Dash there are entities called *masternodes*, which are also controlled by people or groups of people. Masternodes play an integral role in performing near instant and anonymous transactions with Dash. However, as a security mechanism, the entity has to bond at least 1,000 dash to be a masternode.⁴⁵ Bond is a fancy word for hold, but it's a term commonly used in the cryptoasset space to imply that those assets can't move. If the masternode moves those bonded dash, and subsequently holds less than 1,000 dash, then that person or group can no longer be a masternode.

Given that there were over 4,000 masternodes in March 2017, that means 4 million dash were bonded, or illiquid. With just over 7 million dash available on the market, that 4 million means that roughly 60 percent of the supply is unavailable. Add to that the nearly 2 million dash that were instamined in the first 24 hours, and it implies that 6 million of the 7 million dash available are likely under the control of power players in the space, leaving only 15 percent of the remaining dash in free-floating markets.

The situation is arguably only worsening, as masternodes receive 45 percent of each block reward, which means that of the new supply of dash, they are receiving almost 50 percent. Since they already own 60 percent of the supply outstanding, this gives the masternodes significant ability, and since they hold lots of dash, incentive, to corner the market.

The innovative investor needs to carefully examine the supply schedules and who newly minted cryptoassets are